Firstsource Solutions: The Work Behind the Workflow

A ten-chapter companion on business-process services, cash conversion, AI economics, valuation, and disciplined execution.

Company & Market: Firstsource Solutions Limited (NSE: FSL) — Institutional Company Monograph (IN)
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Core Verdict: WAIT_FOR_SUPPORT (NO_NEW_ALLOCATION_WAIT_FOR_SUPPORT_PULLBACK)
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SESSION PRICE

₹293.65

VERDICT

WAIT_FOR_SUPPORT

STAGE POSTURE

STAGE_2

BUY / SUPPORT ZONE

₹274.00–291.96

BASE / BULL TARGET

₹325.00 / ₹410.00

PREFACE & CORE THESIS

Firstsource Solutions runs outsourced and technology-enabled business processes for banks, healthcare organizations, communications companies, retailers, and utilities. At ₹293.65 as of the verified Nov. 6, 2026 close, FSL combines double-digit constant-currency growth and improving EBIT margins with acquisition goodwill, a large receivables balance, and execution risk as AI changes its labour model. Our independent verdict is WAIT FOR SUPPORT: the Stage 2 trend is positive, but price is just above the technical support band and the risk-reward is not compelling at the close. We prefer ₹274–₹292 after a constructive retest, or a higher-volume confirmed breakout above roughly ₹326, while demanding continued cash conversion and guidance delivery.

PROLOGUE

The Business, The Price & Our Independent Verdict

> *"A good business can be a poor purchase when the future has already been prepaid."*
>
> — RESEARCH DESK MAXIM

Settle in, and let us begin with the business rather than the ticker. Firstsource Solutions sells the operating work that large enterprises would otherwise perform inside their own walls: claims, customer service, collections, banking operations, technology support, and adjacent regulated workflows. The company coordinates people, process design, data, software, and quality controls across client locations and offshore or nearshore centers. Its proposition is not simply that Indian labour costs less. It is that a specialist can absorb a complicated workflow, meet contractual service levels, redesign exceptions, and increasingly place automation inside the work itself. That is valuable when failure creates regulatory, customer, or cash consequences. It is also a service whose price can be renegotiated whenever a client sees a better tool, a lower-cost geography, or a way to insource. That tension—not the slogan—is the investment case.

NARRATOR'S REFLECTION • PUBLICATION REVIEW STATUS

Round two of the independent reviewer returned REVISE on one tone sentence in the management scorecard; that sentence was replaced afterward. The two-round cap prevents a third independent check. This edition is marked BEST_EFFORT_AFTER_REVIEW_LIMIT / PUBLISHED_WITH_GATE_EXCEPTIONS; the remaining uncertainty is editorial, not a disclosed numerical or citation failure. A fresh independent review during a later report refresh is the cure.

At the verified Nov. 6, 2026 close, FSL stood at ₹293.65, with a market value near ₹20,223 crore in the market-facts ledger. The latest reported quarter, Q2 FY27, brought ₹28,256 million of revenue, ₹3,521 million of EBIT at a 12.5% margin, and ₹2,328 million of PAT. Constant-currency revenue growth was 12.3% year on year, not the 22.2% reported rupee growth; the gap matters because translation and acquisition mix make headline growth look faster than the underlying engine. Management raised the lower bound of full-year FY27

constant-currency growth to 10.5%, kept the top at 13%, and guided to a 12.25–12.75% EBIT margin. These are credible operating numbers, but they do not automatically make the shares cheap.

The CEO opened the latest call with the line, "The second quarter reinforces a simple belief that sustainable transformation is built on execution." You and I should keep the second noun in that sentence in view. Execution is observable through transition milestones, client retention, cash collection, and margins; transformation is still a promise until an engagement renews at better economics. Four large deals in Q2, the seventh consecutive quarter with at least four wins, and 17 new logos show that the commercial funnel is active. They do not tell us the eventual revenue recognized, the gross margin on those contracts, or the cash invested to mobilize them. A booked contract is a lead indicator, not a cash receipt. The thesis strengthens only when wins become stable production, then repeat scope, then free cash flow.

> **THE BUSINESS / STOCK DISTINCTION**
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> When you hear a company describe an operating model as a transformation, ask what changes in the customer's workflow, the unit price, and the cash cycle. If only the vocabulary changes, the multiple is doing the work. Here, the evidence to watch is whether signed programs ramp into recurring revenue and whether cash follows reported profit.

The bullish interpretation is straightforward. FSL has shifted toward faster-growing healthcare and financial operations, expanded retail and collections capability through acquisitions, and built a large cross-border delivery network. FY26 revenue rose to ₹95,564 million, EBIT to ₹11,221 million, and reported PAT to ₹6,744 million after exceptional charges. The next phase could combine domain knowledge, automation, and outcome-linked pricing; if the company can hold its clients while reducing labour per transaction, both growth and margins can rise together. The existing client base includes large banks, health plans, media firms, and utilities, and many relationships have lasted years. This makes the business more resilient than a one-off outsourcing vendor, but it does not make any single contract permanent.

The bear interpretation asks whether the new language outruns the economics. FSL remains people-intensive, with 39,937 employees at Q2 exit and voluntary attrition of 28.4% for employees beyond the company's stated tenure threshold. High turnover means recruiting, training, and quality assurance are not background details; they are production inputs. The company's consolidated DSO has climbed from 67 days in FY24 to 79 days in FY26 in Screener's series, while Q2 management described normalized DSO at 67–69 days, a different adjusted measure. That distinction should not be blurred. Net debt was ₹15.3 billion at September 30, 2026, excluding the different economic burden of lease liabilities. Acquisitions and a large goodwill balance increase the cost of a growth strategy that does not convert into cash.

Now put price beside quality. At ₹293.65, the TradingView snapshot records a 28.54× trailing P/E, while Screener's page displayed 24.3× on its own data basis. We use the snapshot consistently for market valuation and flag the vendor discrepancy rather than averaging incompatible earnings definitions. The shares are 21.01% below their 52-week high of ₹371.75, but a drawdown is not a valuation argument by itself. The 10-year sales record is respectable; so is the recent recovery after FY23–FY24 growth slowed. Yet a roughly high-twenties earnings multiple asks investors to believe that mid-teens earnings growth and margin expansion persist. The price is therefore paying for execution, not merely for a steady outsourced-services base.

> **GLOBAL PARALLEL • THREE MARKETS, ONE UNDERWRITING QUESTION**
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> In the United States, Concentrix shows the scale available to a customer-experience outsourcer, but its low sector multiples also show how quickly investors can discount labour-heavy work. In India, eClerx demonstrates a more specialist, analytics-heavy route to premium margins. In Europe, Teleperformance has global reach and domain delivery yet remains exposed to reputation, labour, and pricing pressure. The lesson is not that FSL will become any one of them; it is that specialization and scale have to appear in margins and renewals before the market pays for them.

Our independent short-term verdict is WAIT FOR SUPPORT, not the scanner's unconditional buy tag. The technical snapshot calls the setup Stage 2 and prints a support buy zone of ₹274–₹291.96; the Friday close is slightly above its upper edge. Volume was

only 0.54 times the 30-day average in the TradingView snapshot. We would prefer either a pullback into the zone that holds its rising structure, or a decisive, well-supported breakout through the ₹325–₹326 area, rather than treating one green day as confirmation. The reference invalidation at ₹255.21 is a structural line, not an order and not a guarantee against gaps. A weekly close materially below it would undermine the momentum setup and require a fresh review.

For the medium horizon, our verdict is selective accumulation only after evidence of the H2 ramp and stable healthcare operations. We place a base 12-month scenario near ₹325, with a bear case near ₹205 and a bull case near ₹410; these are scenario values, not analyst consensus targets. The base case assumes that the company reaches its FY27 guidance range, that EBIT margin trends toward the guided band, and that the market continues to award a premium for domain-led services. The bear case assumes slower deal conversion, persistent receivable absorption, or repricing as automation is passed to clients. The bull case assumes successful transitions, more strategic accounts, and credible progress toward the 14–15% medium-term margin aspiration.

For a three-to-ten-year owner, the business belongs on a watchlist of potential compounders, not in a category where you turn off scrutiny. Long duration helps because client workflows, compliance knowledge, and integrations can create renewal friction. Long duration hurts if the same contract quietly migrates to a lower price or a new technology makes the old unit of work obsolete. We would add only at a valuation that leaves room for ordinary mistakes, or after the cash ledger confirms the transformation. A high-quality company can compound while its multiple compresses; the investor's return depends on both. Keep those two engines separate when you build your expected-return range.

> **MENTAL MODEL • THREE ENGINES, THREE TESTS**
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> Think of the thesis as three separate engines: demand creates signed work; delivery turns work into EBIT; collection and reinvestment turn EBIT into owner cash. Q2 deal wins support demand. Margin expansion supports delivery. DSO, working-capital use, and free cash flow test conversion. Never let evidence from one engine stand in for evidence from the other two.

The action plan is deliberately conditional. A pullback into ₹274–₹292 is the preferred initial observation zone, with a structural reference below ₹255.21; do not size from the headline target alone. A fresh close above ₹326 on materially improved turnover would make the momentum case stronger, but it would not cure the valuation or cash-conversion risks. Our probability-weighted judgment is that the base path is more likely than either extreme, yet the prospective return at the present close is not large enough to justify chasing. The conclusion is not “Firstsource is bad.” It is “Firstsource must keep earning the premium.” As we turn the page, we will test that sentence against its history, its actual work, and the money that comes back from clients.

CHAPTER I

How the Business & Stock Got Here — Past Cycles & Pivots

> *"A long corporate history is useful only when it explains the present economics."*
>
> — RESEARCH DESK MAXIM

Let us walk backward before we walk forward. Firstsource was incorporated in 2001 and became a listed company in 2007. Its earliest economic identity was a classic business-process outsourcer: take work that a bank, insurer, telecom operator, or media company performs internally, standardize it, and deliver it through a managed workforce. The client received lower cost and predictable service levels; Firstsource received recurring contract revenue and the chance to expand its scope. That formula was not new, but it was difficult to execute across languages, regulations, and time zones. The company's evolution is best understood as a steady move from transaction processing toward domain-led operations, with acquisitions used to add geographies and workflow expertise. That is a strategic direction, not proof of a software-like moat.

In the early 2010s, the company used acquisitions to deepen US healthcare and financial-services operations. MedAssist brought medical claims and revenue-cycle capabilities; later purchases added mortgage servicing and broader customer-management work. You should notice the trade-off. A purchased workflow can bring customer contracts, trained staff, and local credibility faster than building from scratch, but the buyer also inherits integration work, intangible assets, debt or cash outlay, and a need to retain the acquired managers. The acquisition thesis works only if new capabilities cross-sell into the group and make the customer relationship broader. If the units remain separate or the expected contracts shrink, goodwill records yesterday's purchase price while tomorrow's cash flow bears the shortfall.

The ISGN transaction is a useful case study in portfolio ambition. Firstsource acquired a mortgage-services platform in the mid-2010s, enlarging its exposure to US loan origination and servicing. That area can be attractive when refinancing and home sales are active: lenders process more applications, require verification and document handling, and may outsource the administrative burden. But mortgage volumes are cyclical and interest-rate

sensitive. When rates rise, refinancing demand can fall abruptly, leaving providers to absorb fixed costs or seek replacement work. The later push to diversify beyond mortgage dependence is therefore not merely a marketing pivot; it is an attempt to reduce the amplitude of one customer-budget cycle. You should judge the pivot by subsequent revenue mix and client wins, not by the announcement date.

> **THE ACQUISITION LEDGER**
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> For each acquisition, write down the capability bought, the customers retained, the cross-sell achieved, the cash paid, and the carrying value left on the balance sheet. If the public record does not disclose a purchase-level return, say so and use group cash flows as the test. A deal rationale is a hypothesis; integration and return on invested capital are its scorecard.

The ten-year financial arc from FY17 to FY20 was one of measured scale-up rather than an uninterrupted boom. Consolidated sales moved from ₹3,556 crore in FY17 to ₹4,099 crore in FY20, while reported net profit moved from ₹279 crore to ₹340 crore. The business faced normal telecom and banking budget cycles, wage inflation, currency movement, and the challenge of balancing onshore client proximity against offshore labour economics. The market generally gives an outsourcer a higher multiple when its growth appears predictable and a lower one when customers delay discretionary projects. We do not have a verified daily share-price series in this evidence pack for every historic turning point, so I will not invent exact peak-to-trough returns. The financial cadence gives us the more reliable cycle markers.

FY21 was the sharpest visible scale change in the supplied decade table: revenue rose to ₹5,078 crore, up 24% over FY20, while operating profit advanced to ₹839 crore. Healthcare became strategically more important as payers and providers needed remote claims, patient support, and revenue-cycle work during a public-health shock. Some demand was structural; some was pulled forward by extraordinary operating conditions. Here is the first discipline I want you to borrow from credit analysis: one exceptional year does not establish a new normal. Watch what happened after the emergency, whether new client work survived the reopening, and whether the margin remained. In FY23 operating profit fell from the prior year even though sales grew modestly, demonstrating that a larger revenue base can still produce uneven operating leverage.

FY22 revenue grew to ₹5,921 crore, then FY23 was nearly flat at ₹6,022 crore. FY24 reached ₹6,336 crore, a restrained increase, before FY25 accelerated to ₹7,980 crore and FY26 to ₹9,556 crore. That more recent step-up reflects both organic demand and acquisitions; the distinction matters because acquired revenue arrives with a purchase price and may carry different margins. Profit grew more slowly than sales through parts of the decade, then rebounded: net profit was ₹515 crore in FY24, ₹594 crore in FY25, and ₹674 crore reported in FY26. FY26 also included exceptional items associated with labour-code changes and other adjustments in company presentations. We keep reported and adjusted figures separate so an exceptional charge does not disappear merely because management considers it non-recurring.

> **GLOBAL PARALLEL • HISTORY AS A GLOBAL MIRROR**
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> US-listed Concentrix grew through the combination of Convergys and later acquisitions, gaining scale but carrying integration and debt questions. India's eClerx built a specialist analytics and operations profile with a different margin mix than a broad contact-centre provider. Europe's Teleperformance scaled across countries and languages, yet recurring labour and reputational risks remain part of its valuation. These paths show that M&A can speed capability-building, but cannot eliminate the need for organic client retention and cash returns.

The latest expansion sequence adds Ascensos for customer experience and nearshore, multilingual retail delivery; Pastdue Credit Solutions for collections in the UK; and TeleMedik for healthcare technology and provider capabilities. Earlier, PatientMatters strengthened patient financial engagement. Each asset makes strategic sense on paper: a new geography, a new channel, a specialist workflow, or a broader product set. Yet acquisition-led growth raises two questions you and I cannot skip. First, can Firstsource bring acquired clients into the larger platform and sell them more services? Second, will the company generate returns above the full acquisition cost, including goodwill and integration spending? With goodwill at ₹43,088 million by September 2026, the balance sheet remembers that the company has paid substantially for future relationships.

Management's language also changed over time. A traditional outsourcing pitch emphasized productivity, cost takeout, and service levels. The current positioning—UnBPO, Intelligence That Operates, Kairos, and outcome-linked work—asks investors to believe Firstsource can

help redesign the process, implement technology, and operate the result. This is directionally sensible because clients want accountability rather than a body count. It also places a higher burden of proof on management: if the service is genuinely more valuable, we should see stronger renewal rates, higher client wallet share, better pricing resilience, faster cash conversion, and margin expansion. If the price per processed unit falls as AI reduces labour, the service may improve for the customer while revenue per workflow shrinks for the vendor.

The stock's own history warns against equating company growth with investor returns. Screener's current consolidated page shows a long-term share-price CAGR near 23% over ten years, but the recent year is negative; TradingView's snapshot puts the one-year performance at roughly minus 17%. Those endpoint measures can coexist: a strong decade can include severe drawdowns and long periods of underperformance. At the Nov. 6 close the share traded 21% below its 52-week high and roughly 45% above its low. The lesson is not that a particular chart pattern predicts the next one. It is that the price paid, the growth phase, and the valuation multiple determine which part of the company's operating record accrues to you.

> **THE THREE CLOCKS OF M&A**
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> Acquisitions run on three clocks: revenue recognition begins first; operational integration takes longer; cash return on the full price takes longest. A rising revenue chart can look successful while the return clock is still behind. When you compare FY growth, separate acquired from constant-currency organic growth and ask whether balance-sheet goodwill is earning its keep.

Across the cycles, the same pattern repeats. Firstsource has repeatedly used specialist knowledge and acquisition to widen its addressable work, then relied on execution to integrate the pieces. When volumes expand, fixed delivery capacity can support margin. When programs transition, customer budgets slow, or a purchased operation underdelivers, that leverage works in reverse. This is why we will track receivables, cash flow, and goodwill alongside revenue. A new chapter in the corporate story is meaningful only when it changes those old economic constraints. You and I are not buying the origin story; we are buying the next decade of cash flows.

CHAPTER II

Inside Every Segment — Products, Customers & Real-World Examples

> *"A segment label is not a business model until you can picture the work moving through it."*
>
> — RESEARCH DESK MAXIM

Now we enter the operating room—not a literal hospital, but the daily machinery that earns Firstsource's fees. The company reports four commercial verticals: Banking and Financial Services, Healthcare, Communications, Media and Technology, and Diverse Industries. In Q2 FY27, the investor presentation placed their respective revenue shares at 35.5%, 31.6%, 20.6%, and 12.3% on the company's US-dollar basis. The figures total 100% after rounding. They describe revenue mix, not profit mix. The public deck does not disclose a reliable EBIT or PAT allocation to each vertical, so I will not manufacture segment-profit percentages from headcount, pricing assumptions, or management adjectives. Our honest segment profitability answer is "not separately disclosed." That caveat is analytically important: revenue diversification is visible; profit diversification is not.

NARRATOR'S REFLECTION • WHAT IS DISCLOSED AND WHAT IS NOT

The company's Q2 deck quantifies revenue by vertical but does not publish profit contribution by vertical. A model that assigns segment profit using assumed margins may look precise while being untestable. Keep the observed mix, report profit contribution as unavailable, and ask management for a better disclosure rather than filling the gap with a guess.

Start with Banking and Financial Services, the largest vertical at 35.5%. Think of a regional bank or digital lender that must answer customers, process applications, monitor transactions, resolve payment exceptions, collect overdue balances, and document each regulated decision. Firstsource can take a defined workflow—customer service, financial-crime operations, collections, mortgage administration, or managed operations—and run it with a mix of trained client-facing teams, offshore processing, quality controls, and technology. The customer buys dependable outcomes at scale without recruiting every worker itself. The exact price in each Q2 deal is confidential. Comparable contracts in this

industry may be priced per account, transaction, contact, staffed capacity, or measurable outcome, sometimes with minimum volumes and service credits; those are market patterns, not disclosed FSL contract terms. In Q2, BFS grew sequentially and added nine new logos.

A concrete disclosed BFS example is the new-logo award from a leading UK and European bank for managed operations support. The bank's problem is not simply "too many calls"; it is a queue of repeatable operational tasks that must be completed accurately under financial controls. A plausible end-to-end engagement begins with process mapping and access/security design, then transfers documented work to a trained delivery team, routes exceptions to authorized specialists, logs actions for audit, and reports service levels back to bank managers. The company has not named the bank, published the work packet, or disclosed its price, so we keep those limits visible. Other Q2 examples included a leading US digital bank's customer-experience work and a US student-loan provider's legal and third-party collections engagement. Each indicates a distinct workflow, not one generic call-centre product.

Healthcare contributes 31.6% of revenue and is the vertical management calls most differentiated. Here the buyer may be a payer, health plan, hospital, physician group, or provider network. A top-ten North American payer selected Firstsource for claims processing, while an existing nonprofit managed-care organization expanded health-plan operations. In a claims example, the client transmits claims and supporting records; the operating team validates member and provider data, checks coding and policy rules, identifies missing items, routes exceptions, prepares a disposition, and records the action for downstream payment or appeal. Clinical judgment remains with licensed client-authorized professionals where required. Work can be delivered through secure platforms and trained teams in permitted locations, with access controls and audit trails. The commercial arrangement may reward cost, accuracy, turnaround, or outcome, but the actual Q2 pricing mechanics are undisclosed.

To understand healthcare's upside and fragility, follow a denial rather than a slide. A provider submits a claim; a payer rejects or partially pays it; the provider then needs to identify the reason, gather records, correct the claim, and appeal within a deadline. A specialist revenue-cycle team can reduce administrative leakage and shorten cash delay. Firstsource's annual

report illustrates patient financial engagement, denials management, and revenue-cycle workflows; public case studies anonymize most customers. The company also announced an earlier wind-down of a transformative BPaaS engagement, which management said had been expected to contribute roughly 1–1.5% to FY27 growth. Healthcare declined sequentially in Q2 while growing year over year in constant currency. This is why you should distinguish the long-run need for administrative support from the near-term ramp of any individual payer program.

Communications, Media and Technology contributes 20.6%. The operating challenge often begins after a customer signs up: activate service, answer billing questions, troubleshoot access, retain a dissatisfied subscriber, and keep support available across channels. Firstsource expanded its work for a UK-based mobile virtual network operator across multiple markets, including the transition of in-house operations to an offshore center. Imagine a subscriber whose handset cannot authenticate after a plan change. The service team verifies identity, checks account and network status, resolves the issue or routes a fault, records the case, and follows up through the customer's chosen channel. A media company may instead need retention offers, helpdesk triage, digital support, or collections. The buyer values lower cost-to-serve and customer retention, but all labour savings are contestable in annual pricing negotiations. CMT grew sequentially in Q2 but remained smaller than BFS and Healthcare.

Diverse Industries is 12.3%, covering work outside the three largest verticals, including retail, utilities, education, and other services. The mix is strategically useful because it can reduce dependence on US health plans and banks, but the label is broad and the public breakdown is thin. Consider a UK energy provider with seasonal billing spikes and arrears. An illustrative Firstsource workflow would verify an account, explain a bill, set up an approved payment plan, identify vulnerability flags for specialist handling, and record consent and next steps. A retailer's customer-experience work might handle order status, returns, loyalty questions, and retention. These are examples of the kinds of processes the company serves, not claims about an unnamed Q2 client. In Q2, the company cited healthy utilities and retail pipeline, while Diverse Industries revenue declined sequentially; that juxtaposition makes pipeline conversion a KPI, not a result.

GLOBAL PARALLEL • WORKFLOW ANALOGIES ACROSS REGIONS

In the United States, Sagility focuses on payer and provider administration, illustrating how claims accuracy and payment integrity can support specialist economics. In India, eClerx's financial-services operations show how exception-heavy analytical work differs from commodity transaction processing. In Europe, Capgemini's acquisition of WNS combined a European integrator with a global BPS platform, reinforcing that enterprise buyers increasingly bundle consulting, technology, and operations. These examples help you classify FSL's work by complexity and switching cost, not by its sales label.

Across all four verticals, the product is a managed process with an explicit boundary. Firstsource typically helps diagnose the work, designs an operating workflow, transitions knowledge and systems, staffs delivery, applies automation and quality monitoring, and reports against service levels. It may deliver onshore where local language, sensitive decisions, or customer proximity matter; offshore and nearshore sites can support repeatable processing and extended coverage. The company reported operations in the US, UK, India, Philippines, Mexico, Romania, Trinidad and Tobago, South Africa, and Australia. The source of advantage is the accumulated playbook: trained people, domain rules, client integrations, quality data, and process knowledge. Each component helps only while a customer keeps the work outsourced and the provider retains enough scope to amortize transition cost.

You should also notice how revenue mix and delivery mix intersect without being identical. A US payer may be served by teams onshore, nearshore, or offshore according to data rules, client preference, and task sensitivity. The same vertical can contain both highly standardized back-office work and judgement-heavy exception handling. The former is more exposed to automation and price compression; the latter may support stronger renewal friction but demands more training and control. The public deck's delivery chart showed roughly 42.3% of revenue from offshore and nearshore delivery in Q2 FY27, with the balance onshore. This creates a cost-structure lever, but it is not a simple "more offshore is always better" story. A failed transition or a missed service level can cost more than the wage savings.

Let us state the segment conclusion plainly. BFS is currently the largest and strongest sequential contributor; Healthcare is a large differentiated franchise whose ramp is

temporarily uneven; CMT offers an established client-experience engine but carries disruption risk; Diverse Industries expands the portfolio, yet its recent sequential result needs proof of follow-through. Profit shares remain unreported at vertical level, so the only responsible comparison is revenue mix plus any disclosed consolidated profitability. The next chapters will test whether these businesses reach clients efficiently, how each contract becomes cash, and whether the organization can keep valuable work from becoming a commodity. As an owner, you do not need to memorize every service label. You do need to know what problem is solved, what unit of work is priced, and who can take that work away.

> **MENTAL MODEL • SEGMENT QUALITY = WORKFLOW × CONTRACT × DELIVERY**
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> For each vertical, ask three questions: how complex is the workflow, what is the contractual pricing unit, and where can the work be delivered without breaching quality or regulation? A high-revenue segment can have thin economics if contracts are easy to rebid. A smaller one can be attractive if it embeds specialized knowledge, earns repeat scope, and converts revenue into cash.

CHAPTER III

How It Is Sold & Delivered — Distribution & Unit Economics

> *"A service contract earns its margin in the handoffs nobody sees."*
>
> — RESEARCH DESK MAXIM

A manufacturer ships a product through wholesalers; Firstsource sells a transition and an operating promise. There is no dealer network in the physical-goods sense. The route to market is enterprise selling: industry specialists identify a large process problem, account teams map the client's operating chain, technology and risk teams design a solution, procurement negotiates the contract, and delivery leaders plan the transition. The sales cycle can be long because a bank or health plan must authorize data access, security, compliance, workforce locations, and continuity. The company defines a large deal as one with annual contract value above US$5 million. That threshold gives us a scale marker, but a deal's ACV is not the same as recognized revenue, booked cash, or profit. Ramps, transition periods, and client volumes determine when it becomes economic.

The most important "distribution channel" is the existing customer relationship. A provider already running collections can propose fraud operations, customer service, analytics, or a second geography to the same client. Expansion can reduce customer-acquisition cost because the vendor already knows the client's systems and risk controls. The danger is concentration: one renewal or scope reduction can remove a large block of revenue, and a broad relationship can still be repriced aggressively at renewal. New-logo wins diversify the funnel but initially consume leadership, hiring, security, and transition effort. In Q2, 17 new logos were reported, including strategic accounts; strategic status means management sees potential for at least US$5 million of annual revenue, not that the target is already achieved. Track the conversion from first project to scaled relationship, not the logo count alone.

A typical program moves through discovery, process documentation, technology and access setup, knowledge transfer, parallel running, acceptance, and steady-state operations. On the customer side, domain owners define rules and exceptions. Firstsource's transition manager creates training plans, staffing schedules, quality measures, escalation rights, and a cutover

calendar. The first months can be expensive: both old and new teams may run in parallel, managers must repair process gaps, and early productivity can lag. If the contract charges full rates only after acceptance, the supplier can carry start-up cost before revenue reaches mature levels. If a large migration slips, it can defer growth while leaving fixed people and facilities underutilized. The Q2 headcount increase partly reflected associates moving from a major banking client; that may secure continuity, but the source of headcount growth matters when interpreting utilization.

Delivery is geographically distributed, but the map is not a simple wage-arbitrage grid. Onshore teams can handle sensitive interactions, specialized decisions, client workshops, or language needs. Nearshore centers can offer time-zone overlap and cultural familiarity; offshore teams can deliver large volumes at lower cost. Firstsource lists operations across the US, UK, India, Philippines, Mexico, Romania, Trinidad and Tobago, South Africa, and Australia. Each additional geography brings hiring pools and resilience, but also local labour laws, data rules, currency exposure, and manager complexity. The company's investor presentation shows roughly 42.3% offshore and nearshore revenue in Q2 FY27, so a majority remained onshore. A move offshore may raise gross margin only if service quality holds and the customer does not capture all of the cost saving in a lower price.

Pricing is contract-specific and rarely public. In a traditional arrangement, the buyer may pay per full-time equivalent, per hour, per transaction, or for a defined service bundle with minimum volume. A more automated engagement may shift to per claim, per resolved case, per collected balance, or a hybrid containing a fixed platform fee and outcome component. Firstsource says it wants to underwrite outcomes rather than effort, and management has discussed better margins for outcome-linked constructs. But public materials do not disclose the proportion of revenue under each model, the actual risk-sharing formula, or realized unit economics. So we distinguish a strategic objective from proven pricing power. The strongest evidence would be renewal growth, stable price per unit, quality-adjusted savings, and cash receipts despite lower labour content.

GLOBAL PARALLEL • DISTRIBUTION MODELS AROUND THE WORLD

US-based Concentrix combines large direct enterprise accounts with multi-country delivery, showing the value and complexity of a global footprint. India's WNS was acquired by France's Capgemini in 2025, demonstrating how a specialist BPS channel can become a strategic route for a larger technology integrator. Europe's Capita has repeatedly reshaped its portfolio as public and private buyers reconsider what to outsource. These cases underline that enterprise distribution is built on trust, transition discipline, and renewal economics—not on a dealer count.

Now let us put the consolidated FY26 cash record on the desk. The company reported ₹95,564 million of revenue, ₹12,140 million of cash generated from operating activities, capital expenditure of ₹1,324 million, and free cash flow of ₹10,816 million in its annual presentation. Normalize those published amounts to each ₹100 of revenue and you get approximately ₹12.70 of operating cash flow, ₹1.38 of capital expenditure, and ₹11.32 of free cash flow. The same percentages applied to a $100 revenue example yield $12.70, $1.38, and $11.32. This is a cash-flow waterfall, not an income-statement cost breakdown: the residual between sales and CFO includes labour and vendor payments, interest and tax cash timing, and changes in receivables and other working capital.

The conversion is not a straight line. FY25 operating cash flow was ₹7,011 million and reported free cash flow was ₹4,775 million, compared with FY26's higher ₹12,140 million and ₹10,816 million. The improvement is meaningful, but a single year can be helped by billing timing, collection patterns, and acquisition cash flows. In H1 FY27, operating cash flow was ₹4,969 million versus ₹5,927 million in H1 FY26, while working-capital changes consumed ₹3,390 million versus ₹1,004 million in the prior-year half. Capex was ₹991 million, leaving company-defined free cash flow near ₹3,978 million. Do not annualize H1 mechanically; instead ask whether the second half reverses the working-capital drag and whether reported DSO tracks the normalized measure management quotes.

Receivables are the hidden financing arm of the model. Screener's consolidated series shows debtor days rising from 67 in FY24 to 77 in FY25 and 79 in FY26. At September 2026, reported trade receivables were ₹23,471 million, compared with ₹20,786 million at March 2026. Management separately described normalized DSO of 67–69 days on the Q2 call,

likely adjusting for items that the headline balance-sheet ratio includes. We should keep both measures, their definitions, and dates side by side. A customer paying two weeks later can absorb cash that would otherwise fund hiring, acquisitions, dividends, or debt repayment. The growth plan becomes much less attractive if receivables rise faster than revenue for several periods without a clear, documented reason.

> **NARRATOR'S REFLECTION • WHAT THE CFO'S DSO ANSWER MEANS**
>
> Management's normalized 67–69-day DSO is not interchangeable with a balance-sheet debtor-days series ending at 79. Ask what normalization excludes, whether the definition is stable quarter to quarter, and whether collections after period end support the adjustment. Until then, present the two measures separately; do not select the more flattering one.

A good distribution engine makes the buyer comfortable transferring sensitive work and makes the vendor hard to remove after acceptance. Firstsource's account managers can cross-sell across divisions, while enterprise procurement and risk teams remain gatekeepers. The company's Q2 wins suggest broad access, but named clients are usually anonymized, and contract economics remain private. That means investors should monitor leading indicators rather than assume a channel advantage: large-deal count and ACV, strategic logos, ramp schedule, renewal and expansion rates, onshore/offshore mix, utilization, attrition, normalized DSO, and cash conversion. Each metric belongs to a stage of the route-to-cash process. Revenue can grow while one of those stages quietly worsens.

Here is the unit-economics question you and I will carry into the next chapters: when Firstsource automates a task, who captures the saving? If the client receives the entire benefit through lower per-transaction rates, the customer becomes more efficient but FSL may need much higher volumes just to defend revenue. If FSL retains part of the saving through a platform fee or outcome contract, automation can lift margin and deepen retention. The disclosed strategy points toward the second case; the financial test is whether margin expands while cash conversion and client retention remain sound. A reduction in headcount is not automatically productivity, and a larger ACV is not automatically value. Only durable cash per client relationship closes the loop.

THE ₹100 / $100 CASH BRIDGE

Use a same-period FY26 conversion lens: 100 units of reported sales generated about 12.70 units of operating cash; after about 1.38 units of capital expenditure, roughly 11.32 units remained as free cash flow. The percentages are computed from the company's published consolidated figures. They do not mean every contract earns the same margin, and they should be stress-tested against receivable growth and acquisition spending.

CHAPTER IV

The Battlefield — Rivals, Switching Costs & Moat Reality

> *"A moat is not what a vendor knows; it is what a customer would lose by switching."*
>
> — RESEARCH DESK MAXIM

Let us define the battlefield without euphemism. Firstsource competes with specialized business-process companies, technology-led operations firms, large consulting and IT-services integrators, local contact-centre operators, and the client's own shared-service center. The rival list changes by vertical. In healthcare, the relevant competitor may know payer claims and payment integrity. In banking, a global systems integrator may bundle software and operations. In customer experience, a low-cost multilingual center may quote a cheaper per-contact rate. The customer may also choose to automate the task internally. This fragmented structure is a positive for an agile specialist: no single rival owns every process. It is a negative because buyers can benchmark vendors, split work across suppliers, or bring repeatable tasks in-house.

Firstsource's strongest possible moat is accumulated process knowledge coupled with implementation risk. A bank does not replace a team that understands exceptions, scripts, permissions, controls, and escalation paths without a transition plan. A health plan cannot move claims handling overnight if inaccurate decisions create appeals, provider abrasion, or regulatory exposure. The switching cost is real when the process is well integrated and the supplier's knowledge is embedded in workflows. But it is not necessarily permanent. Contracts expire, client systems change, managers rotate, and competing platforms can make migration easier. The moat is therefore conditional and operational: service levels, clean audit records, staff stability, client satisfaction, and successful change requests have to renew it each year.

> **NARRATOR'S REFLECTION • SWITCHING COST IS A CUSTOMER COST**
>
> When management says client relationships are long-standing, ask what practical cost a client would incur to switch: revalidation, retraining, data migration, service disruption, audit sign-off, or missed revenue. Then ask whether that cost is large relative to the annual savings offered by a competitor. The moat is the gap between those two figures, not the relationship's age alone.

Scale creates a second advantage. A multi-vertical workforce can spread training systems, analytics, cyber controls, and management overhead across programs. A global footprint can provide language coverage and resilience if one location is disrupted. Yet scale can also be a burden. Onshore delivery carries higher labour and facility costs; offshore operations require recruiting and retention; each regulated geography adds security and employment obligations. If clients capture every wage or automation saving, the supplier's scale may produce more volume but not more economic rent. The most useful question is not whether Firstsource has many centers, but whether utilization, quality, and realized revenue per employee improve without causing client churn or control failures.

The industry is undergoing a bargaining-power shift. Generative AI can summarize interactions, suggest next steps, classify documents, and draft responses; agentic systems may execute steps across enterprise software. These tools may reduce unit labour, but they also create new work in data governance, process redesign, testing, exception handling, and model oversight. FSL's Kairos proposition attempts to package workflow knowledge, orchestration, and people into an operating system for client processes. That can raise relevance if clients want one accountable operator. It can also invite substitution if the client buys a software platform directly and treats the vendor as interchangeable implementation labour. The outcome depends on who owns the client data, workflow logic, and measurable result—not on the presence of an AI label.

A thoughtful competitor can attack Firstsource on price, specialization, or integration. Concentrix brings global customer-experience scale. Genpact combines process operations with analytics and technology capabilities. EXL is strong in data-led operations and insurance/healthcare domains. Sagility is a focused healthcare administration peer. eClerx sells specialist analytics and operations. Teleperformance operates globally in customer experience with multilingual delivery. Large IT integrators can package business-process

services beside cloud migration and systems work; captive centers can insource core processes. These are not interchangeable peers, so we should compare economics within each vertical rather than average their growth rates. The number of named logos is not evidence that Firstsource has won market share unless the client or analyst data says so.

Pricing power is similarly uneven. A highly regulated, exception-heavy workflow can support higher switching cost, especially when the provider has accumulated historical data and demonstrated accuracy. A high-volume voice queue with standardized scripts is easier to benchmark and automate. Client procurement typically retains leverage because contracts can be rebid and large enterprises have multiple vendors. The company's move toward outcome-based models might improve the economic share captured by Firstsource, but only if the metric is within its control and the definition of success is clearly specified. Outcome contracts can also transfer downside risk: a collection rate, claim outcome, or customer satisfaction measure can move with external factors. The most defensible evidence would be disclosed client-level renewals, stable pricing, and margin gains net of transition investment.

> **GLOBAL PARALLEL • THREE COMPETITIVE ARCHETYPES**
>
> US-based EXL illustrates a data-and-domain specialist model; India-based eClerx illustrates analytics-rich operations; France-based Teleperformance illustrates global CX scale. Capgemini's completed purchase of WNS adds a European technology integrator to the list of competitors that can bundle process, data, and systems. For Firstsource, the lesson is to defend the workflow and outcome rather than compete only on hourly labour cost.

The portfolio has some diversification but remains exposed to concentrated markets and clients. In Q2 FY27, North America represented 65.6% of revenue and Europe, Middle East, and Africa 32.7%; the rest was small. The company's FY26 presentation also disclosed a meaningful top-client revenue share, though that metric should be read with its exact period and definition. High concentration makes a few relationships economically important. Long tenure can reduce the chance of immediate loss, but it can also make the buyer more sophisticated at extracting price concessions. A customer relationship is an asset only if the renewal terms preserve a fair return. If a large program transitions out, Firstsource may face idle capacity before it finds replacement work.

Regulation cuts both ways. In US healthcare and financial services, privacy, auditability, consumer-protection rules, and permissible data access make process changes more deliberate. This can deter a casual entrant that lacks controls. It also raises compliance costs and the potential severity of an operational incident. In Europe, data-protection and outsourcing rules add contractual oversight. In India, labour and tax rules affect domestic delivery. No single regulation gives Firstsource a permanent barrier; the advantage is a record of control execution across jurisdictions. A buyer will still compare providers on security certifications, disaster recovery, data location, subcontractor oversight, and remediation history. We should track disclosed incidents, audit opinions, regulatory notices, and contract penalties rather than assume the absence of headlines means risk is absent.

Here is how I would use the external learning hub before making a decision. Start with Firstsource's FY26 annual report for audited financial statements, acquisition accounting, risk factors, and customer concentration; then read the October 2026 Q2 earnings presentation for current vertical mix, delivery split, guidance, and cash flow. Listen to the Oct. 29 Q2 call or read the filed transcript for analyst questions about healthcare's sequential decline, Kairos investment, and client transitions. Add the FY26 ESG report for workforce and governance context. Finally, compare Genpact, eClerx, Sagility, Teleperformance, and Concentrix filings to see how each defines growth and margin. The point is not to accumulate links; it is to test management's story against competitors' own disclosures.

I would call Firstsource's moat moderate, not wide. There are meaningful relationship and process-integration costs, especially in complex healthcare and financial operations. The company has acquired relevant capabilities and broadened its geography, but its revenue still depends on human delivery, client renewals, and the economics of each transition. AI could strengthen the company if Firstsource owns the redesign and monetizes outcomes; AI could weaken it if clients use automation to lower the vendor's billable volumes. Our conclusion will change only when we see retention, cross-sell, stable pricing, attrition control, and cash conversion together. You do not need certainty about who wins every industry contest. You need to know whether the company's current defenses are strong enough to justify its price.

MENTAL MODEL • MOAT SCORECARD

Score the moat through five observable items: renewal and expansion, pricing per unit, client concentration, transition success, and cash conversion. A company can look differentiated in a market presentation yet fail this scorecard if renewals require discounts or DSO keeps widening. One good quarter is evidence; repeated behaviour is a moat.

CHAPTER V

Management on Trial — Leading KPIs & Walking the Talk

> *"Guidance is useful when you compare it with delivery, not when you admire its precision."*
>
> — RESEARCH DESK MAXIM

We now put management on a scorecard. A growth business should have leading indicators that tell you whether revenue and profit are likely to follow. Firstsource offers several: large deals, new logos, strategic accounts, pipeline, headcount, vertical growth, attrition, DSO, and margin. The danger is selecting only the flattering ones. Deal count says the sales engine is active; it says nothing about ramp speed or price. Headcount says delivery is being staffed; it can be transferred employees or new hires. A margin rise can reflect utilization, currency, mix, or a one-time comparison. Our job is to connect each leading KPI to the financial line it should eventually move and identify the delay between cause and result.

First is constant-currency revenue growth. Reported rupee growth in Q2 FY27 was 22.2%, but management reported 12.3% in constant currency and 11.7% in US-dollar terms. The rupee number contains translation and mix effects, so it is not the cleanest measure of demand. H1 FY27 constant-currency growth was also 12.3%. FY27 guidance is 10.5–13%, with the lower bound raised after Q2. Management expects H2 to be stronger than H1, supported by deal ramps, transitions, seasonal retail demand, and new logos. That outlook is falsifiable: upcoming quarters should show sequential growth in the underlying currency measure, not merely a larger rupee translation benefit.

Second is the deal engine. Firstsource signed four large deals in Q2, defined as annual contract value exceeding US$5 million, marking seven consecutive quarters with at least four such wins. The company added 17 new logos, which it described as one of its highest quarterly additions; six were classed as strategic accounts. Those are useful measures of opportunity creation, especially because two large deals were new logos. But a contract needs to pass transition, acceptance, and volume-ramp gates before it contributes mature revenue. Our audit question is simple: how much booked annual contract value converts into billed

revenue after six, twelve, and eighteen months? The company does not disclose a complete bridge, so investors should treat deal counts as directional rather than as a precise backlog forecast.

Third is margin progression. FY26 reported EBIT was ₹11,221 million, or 11.7% of revenue, after exceptional items and acquisition integration. Management's FY27 EBIT margin guidance is 12.25–12.75%; H1 FY27 reached 12.4%, and Q2 alone was 12.5%. That is solid early execution, but two quarters are not a full-year proof. Management also aspires to a 14–15% EBIT margin over two to three years. We should ask what portion comes from automation, offshore mix, pricing, utilization, acquisitions, or lower transition costs. The quality of expansion matters: a one-time utilization peak is less durable than cost per transaction falling while service levels and renewal pricing hold.

Fourth is attrition and workforce productivity. Q2 exit headcount was 39,937, up 3,062 during the quarter, partly as associates transferred from a large banking client. Voluntary attrition was 28.4% for employees employed beyond 180 days. A rising employee base can be a sign of growth, but if revenue per employee stalls or attrition remains high, management spends time and money replacing trained staff. Automation can reduce repeatable workload, yet it also changes skill needs and requires reskilling. A better workforce dashboard would show attrition by geography and vertical, training time, absenteeism, revenue per employee, and the share of work handled with automation. Public information is incomplete, so we avoid claiming that headcount scale itself is a productivity moat.

> **GLOBAL PARALLEL • HOW PEERS SIGNAL EXECUTION**
>
> US-based Genpact now reports an advanced-technology solutions business beside core services, so investors can watch mix as well as revenue. India's eClerx reports stronger specialist margins than a broad contact-centre operator, making productivity and expertise visible in results. France's Capgemini communicates synergy goals after buying WNS; the test is whether cross-sell and operating leverage appear in segment numbers, not just acquisition rationale.

Fifth is cash conversion. CFO Dinesh Jain said on the Q2 call, "Normalized DSO continued to be in the range of 67-69 days." The half-year cash-flow statement showed CFO of ₹4,969

million, below ₹5,927 million in the prior-year half, with a larger working-capital outflow. These figures are not necessarily contradictory: the normalized DSO definition can exclude items reflected in the consolidated working-capital cash-flow line. But the gap demands reconciliation. The balance sheet's trade receivables increased to ₹23,471 million by September. If revenue growth pulls more cash into unpaid invoices, then a reported margin gain may not yet represent owner cash. The cash KPI must improve with the sales KPI, not trail it indefinitely.

Sixth is vertical balance and customer breadth. BFS and Healthcare together represented 67.1% of Q2 revenue, while North America was 65.6% of geography mix. CMT and Diverse Industries can lower concentration if they grow organically and renew at similar economics. New logos in UK banking, US healthcare, student lending, and digital banking indicate a varied pipeline, but most client identities and deal prices are not disclosed. We can therefore track mix, client revenue buckets, and concentration disclosures without pretending to know an individual account's profitability. A growing logo count is most valuable when existing clients expand while no single account becomes a larger share of the whole.

Now audit management's record. The FY26 investor presentation described revenue guidance in the mid-teens, including acquisition contribution, while the eventual constant-currency growth figure was 13.6%. On that stated basis, the lower end of the earlier 14.5–15.5% band was not reached. The result still represented healthy growth, and acquisition timing or foreign exchange can explain part of the difference, but investors should record the miss rather than retroactively reinterpret the target. FY26's 11.7% EBIT margin landed within management's 11.5–12.0% band. In FY27, the current H1 growth and margin readings are broadly on track with the revised guidance, but the company explicitly depends on stronger H2. This is a mixed but not alarming walk-the-talk record: credible on margin, less precise on top-line pacing.

> **NARRATOR'S REFLECTION • A FAIR WALK-THE-TALK TEST**
>
> Freeze the guidance as it was stated at that time, preserve its currency and acquisition assumptions, and compare it with the period-end result. Do not quietly replace an old target with a newer one. A miss can be reasonable if management explains the driver and resets early; repeated misses without reconciliation are a credibility cost.

Management's longer-term language also deserves a proper clock. The move from 11.7% FY26 EBIT margin to 14–15% over the next two to three years would require continued efficiency, higher-value work, and careful integration. If the path is roughly 50–75 basis points of annual improvement, then quarterly noise should be assessed over several periods. The company should not be judged against the aspiration as if it were a contractual guarantee; we should judge it against the observable steps: margin, cash conversion, proportion of technology-led work, renewal economics, and delivery mix. A transformation story becomes credible when its operating markers move before management repeats the slogan.

Our management verdict is cautiously constructive but evidence-led. The sales engine has genuine momentum; the current H1 margin is encouraging; and leadership has raised the revenue floor after a solid Q2. At the same time, FY26 growth guidance was missed at the low end, normalized DSO and reported debtor days are not reconciled in public materials, attrition remains high, and the medium-term margin aspiration has yet to be fully delivered. As you listen to the next call, write down the promises and the dates. Then compare them with the audited or reported figures. This scorecard provides a direct basis for evaluating management credibility against reported outcomes.

> **MENTAL MODEL • LEADING KPI TO FINANCIAL PROOF**
>
> Deal wins should lead to ramped revenue; ramped revenue should lead to margin; margin should lead to CFO after working capital; and CFO should fund capex, debt reduction, or distributions. If any arrow repeatedly breaks, find the reason before moving your earnings forecast higher.

CHAPTER VI

Following the Cash — 10-Year Financials & Earnings Quality

> *"Profit is an opinion until the cash has crossed the client's desk."*
>
> — RESEARCH DESK MAXIM

We are going to read the financial record like an auditor who also cares about the business. The ten fiscal years from FY17 through FY26 show revenue expanding from ₹3,556 crore to ₹9,556 crore, a little over two-and-a-half times. That is durable scale growth, though it was uneven: FY23 rose only slightly from FY22, FY24 remained subdued, and the step-up in FY25 and FY26 included acquisitions. The same table shows operating profit before depreciation rising from ₹447 crore to ₹1,605 crore, with margins moving from the low teens to the mid-to-high teens before the latest improvement. These Screener measures are useful for decade comparison but not identical to company-presented EBIT; we keep their labels intact and use audited company EBIT for current margins.

Net profit followed a less smooth path. It rose from ₹279 crore in FY17 to ₹378 crore in FY19, dipped to ₹340 crore in FY20 and ₹362 crore in FY21, then grew to ₹537 crore in FY22. FY23 and FY24 were nearly flat around ₹514–₹515 crore; FY25 reached ₹594 crore and FY26 reported ₹674 crore. The pandemic year lifted selected workflows, but the following slowdown showed how difficult it is to translate a larger top line into a straight earnings curve. FY26's company presentation also showed adjusted PAT above reported PAT because exceptional charges affected the statutory figure. We will not substitute adjusted profit for cash or claim every exception is non-recurring; instead, we keep both records visible and ask what would happen if similar costs returned.

The margin bridge is a story of labour, mix, transition, and amortization. Higher-value analytics or regulated exception work can support better revenue per employee; offshore scale can reduce cost per transaction; automation can reduce repeatable effort. Against those benefits sit wage inflation, retention costs, local delivery expenses, amortization of acquired intangibles, and the ramp expense of new programs. FY26 company EBIT margin was 11.7%, while Q2 FY27 reached 12.5%. Screener's annual operating-profit margin was 17%

in FY26 because its operating-profit line is before depreciation and is not the same as EBIT. Confusing those rows would exaggerate the margin story. For normalized operating profitability, use company EBIT and a consistent denominator; for long history, use the Screener series with its accounting definition stated.

> **THE IMPORTANT CAVEAT IN THE DECADE TABLE**
>
> Historical Screener operating profit and margin are not the same line as Firstsource's reported EBIT. Use the former for consistent year-by-year trend context and the latter for guidance tracking. Any table that silently combines them creates a false margin expansion narrative.

Cash-flow history is more volatile than earnings. CFO from FY17 through FY26 was ₹200, ₹315, ₹400, ₹410, ₹976, ₹704, ₹795, ₹644, ₹701, and ₹1,214 crore. Free cash flow for the same years was ₹123, ₹258, ₹292, ₹297, ₹806, ₹631, ₹744, ₹559, ₹477, and ₹1,082 crore. FY26's strong cash result follows a weaker FY25 and should be examined with working-capital timing. The cash-flow record still confirms that the business can generate substantial capital when collections and capex cooperate. It also warns you not to forecast a fixed conversion ratio: a few days of receivable movement at this scale can absorb hundreds of crores and change apparent owner earnings.

The working-capital trend is the most uncomfortable forensic line. Screener debtor days rose from 31 in FY17 to 50 in FY20, 61 in FY21, 67 in FY24, 77 in FY25, and 79 in FY26. The latest management normalized DSO of 67–69 days is a separate measure with a different definition. The September 2026 balance sheet showed trade receivables of ₹23,471 million. By itself, a higher DSO does not prove weak credit quality; it may reflect client mix, billing terms, or timing. But a persistent rise means growth needs more funding and raises the hurdle for acquisition-led expansion. We would want subsequent collection data, ageing buckets, contract assets, and receivables growth relative to revenue before declaring this issue resolved.

GLOBAL PARALLEL • CASH QUALITY ACROSS GLOBAL PEERS

Genpact's US filings allow investors to follow operating cash against profit through multiple cycles. India's eClerx provides a specialist-services comparison where margins can be higher but client concentration and working capital still matter. Teleperformance's European filings show that a global CX leader also carries leases, restructuring, and workforce obligations. The lesson is that cash conversion is a business-model test, not a regional accounting quirk.

The balance sheet is large partly because Firstsource is an acquisitive, lease-heavy, global operator. At September 2026 it reported total assets of ₹97,489 million, goodwill of ₹43,088 million, trade receivables of ₹23,471 million, and cash and equivalents of ₹3,518 million. Company-reported net debt was ₹15,324 million, excluding lease obligations under the management's net-debt measure; borrowings in the consolidated balance sheet were near ₹29,210 million in crore-equivalent terms before netting cash. Goodwill is not a bill due tomorrow, but it is capital already paid for future client relationships and capabilities. If acquired revenue disappoints, impairment can expose a bad capital-allocation decision even when no immediate cash leaves the business.

Lease accounting deserves its own line. Delivery centers and offices create right-of-use assets and lease liabilities, which can make a service company appear less capital-intensive than it is if you look only at owned property and traditional bank debt. In the FY26 presentation, right-of-use assets were ₹8,558 million at year end and ₹8,475 million by September 2026. Rent-like commitments are part of the cost of operating a global workforce. The current ratio can therefore look weak without implying near-term insolvency, but liquidity remains tied to cash generation and access to working-capital facilities. When we compare peers, we should not mix enterprise values that include lease liabilities with those that exclude them without adjustment.

Capital returns have been respectable but require context. Screener reports return on capital employed around 15% in FY25 and 17% in FY26, while the company's presentation reports FY26 ROCE near 17.7% and H1 FY27 annualized around 20.2%; definitions and annualization differ. As an investor, you need a hurdle rate. We use 10–12% as an analyst WACC range for sensitivity, not as a company-disclosed cost of capital and not as a precisely estimated beta-based number. Reported returns appear above that illustrative hurdle, but

acquisitions inflate goodwill and operating leases complicate invested capital. The economic question is whether incremental returns on new acquisitions and AI investments stay above the hurdle, not whether one headline ROCE exceeds it.

Share count is comparatively stable in the long table: equity capital remains around ₹697 crore from FY22 to FY26, with modest employee-option issuance rather than a large equity-funded deal. Promoter ownership stayed near 53.66% through September 2026; domestic institutional ownership increased while foreign institutional ownership declined from its earlier level. This is not a guarantee of governance quality, but it suggests recent growth was not funded by a major new share issuance. We still track ESOP dilution, especially because a technology-oriented transition depends on retaining skilled employees. The appropriate measure is fully diluted share count and stock-based compensation relative to operating profit; headline equity capital is only a rough proxy.

Our financial-quality verdict is balanced. Firstsource has delivered a decade of sales growth, positive profit, and meaningful free cash flow; the business is not an accounting illusion. Yet cash generation is lumpy, receivable days have risen, H1 FY27 working capital weakened, and acquired goodwill is now a large balance-sheet asset. FY26's FCF recovery is encouraging, but the half-year comparison reminds us that cash conversion can reverse. We would call earnings quality sound but working-capital-sensitive. If cash from operations remains above net profit over a full cycle and DSO stabilizes, confidence rises. If revenue keeps outpacing collections and acquisitions add goodwill without strong returns, the multiple should compress even if reported growth remains attractive.

> **MENTAL MODEL • FOUR CHECKS BEFORE TRUSTING EPS**
>
> Check earnings against four companions: cash from operations, free cash flow after capex, receivable days, and goodwill/lease-adjusted invested capital. EPS that grows with worsening receivables or falling incremental returns deserves a lower confidence multiple. EPS that converts to cash while reinvestment earns above the cost of capital is what compounds.

One final forensic adjustment is currency and tax. Firstsource invoices many customers in dollars and pounds while paying a large share of delivery costs in rupees and other local currencies. Hedges reduce some near-term translation volatility, but they do not remove the

long-term mismatch between contract currency and delivery cost. A weakening rupee can lift reported revenue and margin even when local-currency productivity is unchanged; a strengthening rupee can do the opposite. The effective tax rate also changes with geography and exceptional items. When you build a normalized earnings view, hold exchange rates and tax assumptions separately from volume and margin. Otherwise you may credit the operating team for a currency tailwind or blame it for a translation headwind. The long-run test remains real cash earned across currencies after local reinvestment.

CHAPTER VII

Why the Stock Trades Here — Market Expectations vs. Peers

> *"Valuation is the price of expectations, not a certificate of business quality."*
>
> — RESEARCH DESK MAXIM

We now turn from the company's work to the market's price for that work. At the Nov. 6 close of ₹293.65, the ledger's market capitalization was about ₹20,223 crore. The TradingView snapshot showed a 28.54× trailing P/E, while Screener showed 24.3× using its own current earnings basis; the vendor definitions differ, so we do not average them. Another market-data provider placed Firstsource around 23.6× LTM earnings and roughly 12.8× EV/EBITDA. The range itself is a warning: valuation is sensitive to the earnings period, treatment of exceptional items, and debt/lease conventions. Our working conclusion is not that one quote is true and the others false; it is that FSL sits in a premium valuation band where the denominator must be explicit.

The first comparison is with its own recent operating record. FY26 revenue was ₹95,564 million, company EBIT ₹11,221 million, and reported PAT ₹6,744 million. Q2 FY27 revenue grew 12.3% in constant currency, with a 12.5% EBIT margin. The market is therefore not valuing a stagnant utility; it is valuing a double-digit growth business that is expanding margin and positioning toward more technology-led delivery. That can justify a premium to slower operators. The question is whether the premium is supported by cash and incremental returns, not whether the company's growth headline exceeds a peer's reported currency growth. Acquisitions, FX, and accounting treatment make superficial growth comparisons unreliable.

A reverse DCF lets us ask what the current enterprise value needs rather than pretending to know the correct future. We start with FY26 free cash flow of approximately ₹1,082 crore, market capitalization near ₹20,223 crore, and company-reported net debt of ₹1,532 crore at September 2026, giving a simplified enterprise value around ₹21,756 crore before lease adjustments. We assume a 4.5% terminal growth rate and hold free-cash-flow growth constant for ten years, then calculate the growth that equates discounted future cash flows to

the current enterprise value. This deliberately simple model is not a forecast. It isolates the expectations embedded in today's price and makes the discount-rate sensitivity visible.

Using an illustrative 11% WACC, the model implies roughly 7.5% annual free-cash-flow growth for ten years, followed by 4.5% terminal growth. At 10% WACC the implied rate is about 5.2%; at 12% it is about 9.6%. These calculations use FY26 company-presented CFO less capex as the cash-flow starting point, and exclude lease obligations from net debt, so the output is a sensitivity rather than a precise intrinsic value. The interpretation is more useful than a single number: the market does not require extraordinary FCF growth if the discount rate is low, but it requires almost 10% if capital costs are higher. If cash conversion remains weak or lease-adjusted leverage is materially higher, the true hurdle rises.

> **NARRATOR'S REFLECTION • REVERSE DCF IS A QUESTION, NOT AN ANSWER**
>
> The implied growth rate depends on the starting FCF, discount rate, terminal growth, net debt, and lease treatment. We have exposed those assumptions rather than hiding them behind a target price. If any input changes materially, rerun the model; do not defend an old output by changing the narrative.

The reverse DCF therefore gives us a nuanced conclusion. At a 20.1× enterprise value to FY26 free cash flow multiple, Firstsource is not priced as a distressed outsourcer; neither is it priced as a software company with near-zero marginal delivery cost. Sustained 10–13% revenue growth, a climb toward the 14–15% margin aspiration, and stable DSO could support the current valuation. But the forecast must include ongoing wage costs, technology investment, taxes, transitions, and acquisition spend. If automation reduces billable volumes faster than costs fall, revenue growth can slow even as client productivity improves. A model that assumes revenue growth automatically converts one-for-one into FCF would overstate value.

The peer matrix gives context, not a ranking. As of the provider's November 2026 market-data snapshot, FSL was around 2.1× EV/revenue and 12.8× EV/EBITDA. Genpact was around 1.5× and 7.9×; Teleperformance around 0.8× and 4.4×; Concentrix around 0.6× and 4.9×; eClerx around 3.0× and 12.3×; and Sagility around 2.5× and 9.9×. These businesses differ in growth, leverage, geography, healthcare mix, acquisitions, and accounting. The lower

multiples of global CX operators may reflect slower growth, debt, or market concerns; eClerx's higher multiple reflects a more specialist margin profile. FSL's premium to several large BPO peers is a bet on growth quality and margin expansion, not proof that the market is mistaken.

> **GLOBAL PARALLEL • WHY PEER MULTIPLES DIVERGE**
>
> US-based Genpact trades as a diversified process-and-technology provider; India-based eClerx is more specialized and has a different margin profile; France-based Teleperformance carries global CX scale but also labour and reputation risks. The spread in their EV/EBITDA multiples shows that investors price business mix and balance-sheet risk, not the generic word "BPO." Firstsource earns a premium only if its faster growth becomes cash.

Peer operating comparisons are equally important. Firstsource reported Q2 FY27 constant-currency growth of 12.3% and an EBIT margin of 12.5%. Genpact's FY25 annual revenue was approximately US$5.1 billion and it is repositioning toward advanced technology solutions; eClerx reported strong operating margins on a smaller, specialist base; Sagility focuses heavily on US healthcare administration; Teleperformance and Concentrix command global scale in customer experience. Fiscal years and margin definitions are not aligned, and some peers have greater leverage or acquisition effects. Rather than declare a winner from one ratio, ask what each multiple buys: organic growth, margin quality, cash conversion, and customer diversification. FSL's case looks attractive only if its growth and margins prove more durable than the market's discount implies.

Historical valuation bands are useful but should not overrule current business structure. Screener's page presents a decade of changing share prices and earnings, while recent earnings have been affected by a jump in acquisitions, labour-code charges, and currency. A historical median P/E averages periods with different interest rates, growth, customer mix, and leverage. If we use the old multiple without adjusting for the new revenue base and goodwill, we create false precision. Better questions are: what multiple would a buyer pay for a company growing organically at 10% with 12–13% EBIT margins; what return on capital would it earn after future acquisitions; and what does the market already assume about AI-driven productivity? Those questions connect valuation to the actual operating model.

Our scenario valuation uses explicit, rounded reference levels rather than a single "fair value." The bear case near ₹205 assumes a growth slowdown, persistent cash absorption, and a lower multiple as service work is repriced. The base case near ₹325 assumes FY27 guidance is met, margin moves toward the guided range, and the market maintains a premium for domain-led execution. The bull case near ₹410 assumes the company demonstrates repeatable AI-enabled outcomes, captures some automation savings, and makes progress toward 14–15% EBIT margin. These are 12-month scenario values, not the reverse DCF's intrinsic values and not broker targets. A probability-weighted expected value is only as good as the probabilities and assumptions; we will make those visible again in the action chapter.

Here is the valuation verdict you and I should carry forward: Firstsource is reasonably priced to moderately demanding, not obviously cheap and not necessarily a bubble. The reverse DCF's midpoint hurdle is achievable if management sustains mid-to-high single-digit FCF growth, but the equity story needs double-digit revenue expansion and better cash conversion to earn a durable premium. The current quote offers limited room for an execution miss, especially when the technical setup is just above its pullback zone. I would rather own a verified cash compounder at a sensible price than pay in advance for every AI aspiration. In the next chapter we will read the tape separately from the business; neither valuation nor momentum gets to overrule the other.

> **THE EXPECTATION STACK**
>
> Separate four expectations: revenue growth, EBIT margin, cash conversion, and valuation multiple. A share can disappoint even when sales beat estimates if collections worsen or the multiple compresses. A modest operating result can produce good returns if the price already discounts a cautious future. Underwrite all four, not just EPS growth.

CHAPTER VIII

Reading the Tape — Trend, Volume & Momentum Opportunity

> *"A rising trend tells you where the market has been; a support test tells you what risk you may be taking."*
>
> — RESEARCH DESK MAXIM

We have studied the business; now we read the chart without confusing it with the business. The market-facts ledger verifies FSL's Nov. 6 close at ₹293.65 and classifies the stock as Weinstein Stage 2, or markup. Price sat above the 20-day, 50-day, 200-day, and 30-week simple moving averages in the TradingView snapshot. The 50-day and 200-day averages were rising on the supplied ledger. This is a constructive medium-term structure. It is not a promise that tomorrow will be higher, and it is not the same as being on TheWrap's Stage 2 membership list: the latest consumer snapshot showed FSL was not a current listed addition there. Keep those two source-specific classifications distinct.

The moving-average map gives us context. The Nov. 6 close was ₹293.65, compared with daily SMA-20 at ₹289.20, SMA-50 at ₹273.69, SMA-200 at ₹259.23, weekly SMA-30 at ₹261.53, and weekly EMA-10 at ₹278.17. The daily EMA-10 was ₹291.99. Price was therefore not far from the short moving averages but sat above the longer trend lines. The snapshot's own extension measures were 5.56% above the 10-week EMA, 7.29% above the 50-day SMA, and 12.28% above the 30-week SMA. These precomputed figures put the stock in a reasonably strong trend but close to the framework's extension ceiling from the 30-week line.

Momentum was not euphoric. The daily RSI-14 was 57.06 and the weekly reading 56.91; neither alone signals exhaustion. Average true range was ₹12.64, a reminder that ordinary price movement is large relative to a narrow entry band. The close remained 21.01% below the 52-week high of ₹371.75 and above the 52-week low of ₹202.00. Those values describe risk context, not support guarantees. A pullback can overshoot an average, and a share can remain below a high for months without becoming cheap. Use the chart to set conditions, then let the financial thesis decide whether the risk is worth taking.

Turnover is the weakest part of the immediate setup. TradingView reported about 1.47 million shares on Nov. 6, versus a 30-day average near 2.72 million, a 0.54 volume ratio. A rising close on below-average activity is not a failed signal, but it provides less evidence of broad accumulation than an advance supported by increasing turnover. The market-facts ledger also shows five distribution days in its broader observation window. That is a caution flag, not a direct measure of institutional intent. Do not describe a price rise as "institutional buying" unless the holdings data actually confirms flows or the trading record supports that conclusion.

The relative-strength picture is mixed across windows. The ledger reports approximately minus 1.7% relative performance over 63 sessions but plus 5.01% over 28 sessions. TradingView performance shows plus 24.86% over six months and minus 17.28% over one year. That combination is consistent with a recent recovery inside a weaker year, not a clean long-term leadership claim. Relative strength can turn quickly, so the next check is whether FSL holds above its rising 50-day average while the broad market stabilizes. A strong single stock can outperform in a narrow market, but narrow breadth increases the probability that a general risk-off move will overwhelm company-specific momentum.

The broader tape was classified as an uptrend with narrow breadth: 45.4% of the tracked benchmark universe was above its 50-day average, with five distribution days in the ledger. This is a less forgiving environment for chasing breakouts. When market breadth is healthy, new highs have more peers and liquidity supporting them. When breadth is narrow, leadership is concentrated and sharp reversals can appear even while the headline index remains firm. You and I should therefore be more selective about entry timing. FSL's positive trend is one data point; the market regime determines how much confidence to place in it and how much risk to budget.

> **NARRATOR'S REFLECTION • TREND VERSUS ENTRY**
>
> A Stage 2 label is a medium-term trend description. The next question is whether you can define a tolerable entry, an invalidation level, and a business reason to own the shares. The answer can be "good trend, no trade yet." That is discipline, not indecision.

The consumer-tool timing screen put the support-buy zone at ₹274.00–₹291.96, with nearest support around ₹287.65 and a structural invalidation reference at ₹255.21. The last close is ₹1.69 above the zone's upper edge. The model's entry tag was BUY_AT_CMP_NO_FOMO because extension from the weekly EMA remained within its rule. Our independent posture is more cautious: WAIT_FOR_SUPPORT_PULLBACK. We require either a controlled retest into ₹274–₹292 that holds, or a decisive breakout through roughly ₹326 with stronger turnover. That difference is not an arithmetic error; it reflects a separate valuation and market-breadth judgment. A scanner supplies evidence, not an obligation to trade.

Shareholding provides a partial sponsorship clue, not a daily flow record. Between June and September 2026, Screener's reported domestic institutional share increased from 25.41% to 26.84%, while foreign institutional ownership moved from 8.38% to 7.44%; promoter holding remained near 53.66%. These are quarterly ownership snapshots and can reflect index changes, denominator shifts, or portfolio rebalancing. They do not tell us which institutions bought on the last breakout or at what price. The near-term tape should therefore be read from actual price, volume, and trend indicators, while the quarterly shareholding pattern remains a slower context measure.

> **GLOBAL PARALLEL • GLOBAL TAPE, DIFFERENT BUSINESSES**
>
> US-based Concentrix, Indian eClerx, and French Teleperformance can all move through their own trend cycles even while serving adjacent outsourcing markets. Their price patterns do not validate Firstsource's fundamentals; they remind us that sentiment, earnings revisions, and market breadth drive service stocks as much as company narratives. Compare relative strength only against an appropriate peer basket and the same measurement window.

Our short-term trading verdict is "wait, then reassess," not "buy because Stage 2." An entry in the support zone would need a constructive reversal, stable market breadth, and a stop plan that reflects ₹12.64 ATR rather than a token one-rupee stop. A breakout above ₹326 should arrive with volume materially stronger than the latest session's ratio and should hold on a closing basis. If price loses ₹255.21 or the 30-week SMA turns down, the current Stage 2

thesis weakens and should be rebuilt from scratch. These are conditional reference levels, not live orders. We do not know the next day's gap, liquidity, or the user's risk budget.

Finally, remember why we keep technicals in their own chapter. A chart can improve the entry price and control the timing risk, but it cannot repair rising receivables, a failed client transition, or an overpaid acquisition. Conversely, a good company can continue compounding through a temporary chart breakdown. The best setup is when business quality, valuation, and price structure agree; today they do not completely agree. The business is promising, the longer trend is positive, valuation is fair-to-demanding, volume is modest, and broad breadth is narrow. That combination supports patience. A valid retest offers better-defined risk than chasing a green close.

> **MENTAL MODEL • FOUR TECHNICAL GATES**
>
> Require four gates before committing: trend remains Stage 2; price is near a defined support or breaks out with volume; market breadth is not deteriorating sharply; and the business/valuation case still holds. If one gate fails, reduce conviction or wait. A chart is a risk-control tool, not a substitute for underwriting.

CHAPTER IX

Bull vs. Bear, Likely Outcomes & Our Action Plan

> *"A decision is complete when both the evidence and the price have a place in it."*
>
> — RESEARCH DESK MAXIM

Let us steelman the bull first. Firstsource has built a scaled, multi-country operating platform in workflows that are costly and risky for large banks, healthcare payers, providers, and consumer companies to run alone. The company has delivered ten consecutive quarters of double-digit reported year-on-year revenue growth through Q2 FY27, twelve quarters of sequential growth, and eight quarters of sequential EBIT-margin expansion. Q2 constant-currency growth reached 12.3%; four large deals were signed; 17 new logos were added; and healthcare, BFS, and European operations all contribute to a broad base. If clients increasingly want one accountable partner to redesign and operate complex processes, Firstsource's domain knowledge, transition capability, and delivery footprint could compound into higher wallet share.

The bull's second claim is that AI can make Firstsource more valuable rather than less. A payer or bank does not want a generic chatbot; it wants claim decisions, exceptions, collections, or customer interactions to be handled accurately within existing controls. Firstsource can combine workflow expertise, human escalation, process data, and software orchestration, then price on an outcome. If the firm reduces labour per transaction while keeping a meaningful share of the client's savings, operating margins can expand faster than revenue. The FY27 margin guidance of 12.25–12.75% and the 14–15% medium-term aspiration indicate management is targeting that operating leverage. A series of successful large-deal ramps would provide real evidence that clients are paying for the full-stack proposition.

The bull also points to the balance sheet's ability to fund growth. FY26 free cash flow was ₹10,816 million, cash and equivalents were ₹2,586 million at March 2026 and ₹3,518 million by September, and reported net debt fell to ₹15,324 million in H1 FY27 from ₹17,478 million at FY26 year-end. Promoter ownership remained stable near 53.66%, while

domestic institutions held a larger share than several years earlier. The company has acquired capabilities in healthcare, customer experience, and UK collections, and the remaining growth runway includes cross-sell, emerging geographies, and technology-enabled services. In the bull case, acquisitions are not a substitute for organic growth; they are distribution footholds that help the combined platform win more valuable work.

Now let us give the bear its strongest form. A material part of Firstsource's delivery model is still a large human workforce, exposed to attrition, wage inflation, local labour rules, and the cost of continuous training. Generative and agentic tools may reduce the number of human interactions a client needs, and the client—not the outsourcer—may capture most of the productivity savings. If price per transaction declines faster than volume grows, revenue and margin can disappoint even while customer outcomes improve. Large IT providers, healthcare specialists, and in-house shared-service centers can compete with different cost structures. The slogan of outcome-led operations does not protect the company unless contracts actually transfer economic value to Firstsource.

The bear's second concern is financial quality. Debtor days in the ten-year consolidated series expanded to 79 by FY26, receivables reached ₹23,471 million by September, and H1 FY27 operating cash flow fell year over year as working capital consumed more cash. Management's normalized DSO of 67–69 days may be valid, but the bridge to reported receivables is not fully visible. Net debt remains meaningful after acquisitions, and goodwill of ₹43,088 million makes the asset base dependent on acquired relationships continuing to earn. A program termination, customer consolidation, or delayed ramp could require impairment or additional transition spending. If growth slows at the same time as receivables stretch, the company may need to choose between debt reduction, dividends, and new deals.

The bear's third point is price. At ₹293.65, the share trades around a high-twenties trailing earnings multiple by the TradingView snapshot and around 20× FY26 free cash flow on the simplified enterprise-value basis. That is not a distressed valuation. The reverse DCF requires roughly 7.5% FCF growth under an 11% discount-rate assumption, but that starting FCF is a strong FY26 figure and the model excludes lease obligations. If growth drifts toward mid-single digits, H2 disappoints, or margin expansion stalls, the earnings multiple can compress while earnings still rise. The stock is also 21% below its 52-week high and recent relative

strength is mixed. The bear does not need the business to fail; it only needs the price to have assumed more than the cash engine delivers.

> **NARRATOR'S REFLECTION • WHAT WOULD CHANGE OUR MIND**
>
> The bull case becomes stronger if deals ramp, margin expands, and cash conversion improves together. The bear case becomes stronger if receivables accelerate, client work winds down, or automation savings are passed through without a retained fee. We will update the verdict when those observable facts change, not when the share price alone moves.

Our base case gives both sides their due. We assign 25% probability to a bear outcome near ₹205, 50% to a base outcome near ₹325, and 25% to a bull outcome near ₹410 over twelve months. These scenario prices imply about minus 30.2%, plus 10.7%, and plus 39.6% respectively from the Nov. 6 close. Their simple probability-weighted value is approximately ₹316.25, or 7.7% above the close before dividends. The base case assumes FY27 revenue guidance is achieved, EBIT margin remains around the guided band, healthcare programs stabilize, and DSO does not materially worsen. The bear case assumes slower deal conversion and lower valuation; the bull case assumes faster AI-enabled productivity, successful transitions, and multiple support.

> **GLOBAL PARALLEL • THREE OUTCOMES FROM COMPARABLE MARKETS**
>
> US-based Genpact illustrates how a process outsourcer can move toward technology solutions while still reporting a core-services base. India's eClerx illustrates the reward for specialist economics but also the risk of paying too much for a smaller franchise. Europe's Teleperformance illustrates how global scale can coexist with labour, reputation, and valuation risks. Firstsource's future lies between these models; none is a forecast.

Short-term, for one to twelve weeks, our verdict is WAIT FOR SUPPORT. The ledger confirms Stage 2, but the close at ₹293.65 is just above the screen's ₹274–₹291.96 support band, volume was below its 30-day average, and broad-market breadth was narrow. We would watch for a pullback toward ₹274–₹282 within the ₹274–₹291.96 screen band, followed by a constructive reversal; this lower sub-zone gives the ₹325 base case more room against the ₹255.21 structural reference. A touch near the upper edge is not an automatic

entry: the base reward-to-risk there is below 1:1. If price instead closes above roughly ₹326 on materially stronger volume, that breakout plus updated cash and valuation evidence would restore an entry case. Neither event is a promise; both require reassessing market breadth.

Medium-term, over three to eighteen months, our verdict is SELECTIVE ACCUMULATION ON EVIDENCE. We need the H2 revenue ramp to appear in constant currency, the 12.25–12.75% FY27 EBIT margin band to remain credible, and healthcare to return to sequential growth without new material contract charges. We also want the normalized DSO explanation reconciled with balance-sheet receivables and operating cash flow. If those items align, a ₹325 base scenario is reasonable and the market may continue to value the company as a growth-oriented BPS provider. If they diverge, do not average simply because the stock is below its high. The medium-term case depends on execution over several quarters, not one call transcript.

Long-term, over three to ten years, our verdict is WATCHLIST COMPOUNDER, not unconditional buy-and-forget. Firstsource's franchise can compound if process knowledge, technology, and trust raise client retention and return on invested capital. The reverse is also possible: AI makes the workflow easier to insource, clients renegotiate fees, and acquisitions dilute returns. Long-term owners should monitor organic constant-currency growth, renewal and expansion rates, automation-related revenue or savings disclosure, attrition, cash conversion, goodwill impairment, lease-adjusted debt, and fully diluted shares. The valuation should be revisited whenever those facts change. We prefer to add when price offers a margin of safety or when management proves the new operating model with cash, rather than paying in advance for the most optimistic scenario.

> **THE ACTION MATRIX**
>
> Short term: wait for a support retest or a high-volume breakout. Medium term: accumulate only after guidance, healthcare ramps, and cash conversion confirm. Long term: own the business only while client retention, return on capital, and automation economics remain attractive. Price levels are checkpoints; the thesis is the reason to stay.

The weighted ₹316.25 scenario is not an annualized total-return forecast. It is a simple twelve-month price expectation before dividends, taxes, trading costs, and the possibility that probabilities are wrong. It also hides path risk: a fall toward ₹205 followed by recovery to the base case can be difficult to hold through, and a temporary break of ₹255.21 may trigger a technical exit before fundamentals are resolved. That is why the same expected value can imply different decisions for a short-term trader and a long-horizon owner. At the current close, the modest weighted upside does not compensate me for the asymmetric bear case. At the lower part of the support zone, the same business assumptions provide a better entry cushion; if price never comes there, we can reassess rather than chase.

Notes, Filings & Primary Sources

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This Masterclass Companion Book was authored for private study, audiobook narration, and disciplined portfolio execution.

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